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Solution

Procedure and answer

(i) Open a new spreadsheet in MS-EXCEL

(ii) Enter labels and values in the cells as given above

(iii) Write total cost in G1 and annual depreciation in H1

(iv) Calculate total cost in the cell G2 by the formula

=Sum(B2:D2) and copy formula to cell G3

(v) Calculate annual depreciation in the cell H2 by the formula

=SLN(G2,E2,F2) and copy formula to cell H3

Output

	A	B	C	D	E	F	G	H
1	**Asset**	**Cost of purchase ₹**	**Installation charge ₹**	**Transportation charge ₹**	**Salvage value ₹**	**Life in years**	**Total cost ₹**	**Annual depreciation ₹**
2	Machinery	200000	20000	5000	25000	10	225000	20,000
3	Furniture	50000	4000	2000	5000	8	56000	6,375

Illustration 10 (PMT)

Consider the following information:

Loan amount ₹ 3,00,000

Number of payment periods 48 months

Annual rate of interest 10%

Calculate periodic payment using PMT function.

Solution

Procedure

i) Open a new spreadsheet in MS-Excel

ii) Enter values in the cells as given below

	A	B
1	Rate of interest (p.a.)	10%
2	Number of instalments (nper)	48
3	Loan amount (pv)	-300000
4	FV	0
5	Type	0

iii) Compute PMT in the cell B6 by the formula

=PMT(B1/12,B2,B3,B4,B5)

Answer ₹ 7,608.78